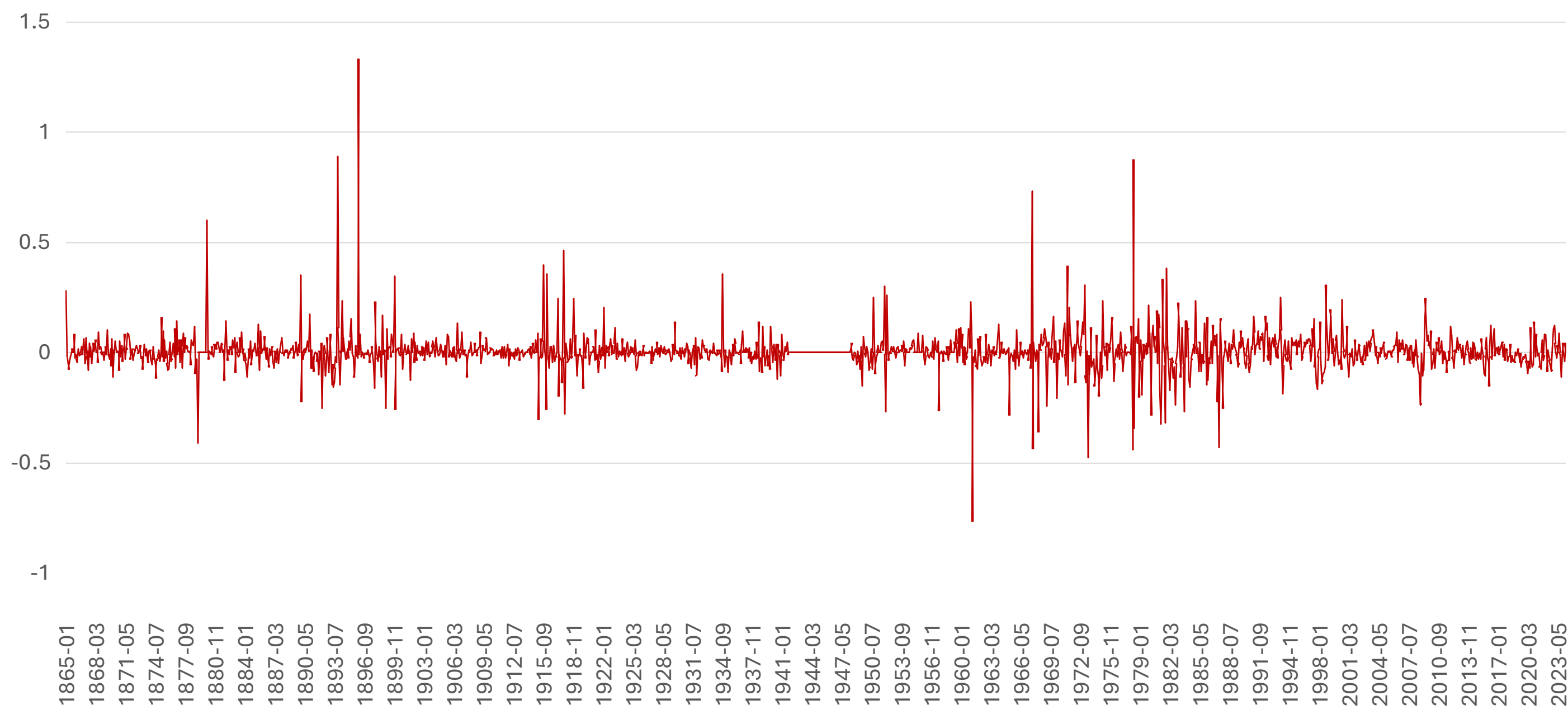


Research Questions

- What were the banking crises in Hong Kong?
- What predicts these banking crises?
- What were their consequences?

(1) What were the Crises?

Method 1: Bank Stock Price Index



Method 2: Text Analysis

Newspapers:

- South China Morning Post
- Far Eastern Economic Review
- Hong Kong Telegraph
- Hong Kong Daily Press
- Hong Kong Weekly Press

Past literature:

Leo Goodstadt, T.K. Ghose, YuQing Jao, etc.



Chronology of Crises = Index AND (Newspaper OR Literature)

Chronology of Severe Crises = Index AND Newspaper AND Literature

Chronology of Banking Crises	
Year	Banks involved
1866	Commercial Bank Corporation of India & the East; Asian Banking Corporation; Bank of Hindustan, China and Japan; National Bank of India; Central Bank of Western India; Agra and Masterman’s Bank
1884	Oriental Bank
1892*	New Oriental Bank; Mercantile Bank
1924*	Chinese Merchants Bank; Kwongtung Saving Bank
1930*	Collapse: Industrial and Commercial Bank and two other unnamed banks Run: The National Commercial and Saving Bank; Bank of Canton; Bank of East Asia
1933*	Cheong Loong Bank; Shun Loong Bank; Luk Hoi Tung Bank
1935*	Ka Wah Bank; The National Commercial and Saving Bank; Bank of Canton
1952	Fu Shing Bank, Yue Man Bank
1965	Ming Tak Bank; Canton Trust and Commercial Bank; Hang Seng Bank
1982-1983	Tse Lee Yuen Group; Dollar Credit and Financing Ltd.;
1983-1986	Hang Lung Bank; Overseas Trust Bank; Wing On Bank; Ka Wah Bank; The Union Bank

*Newly identified crises or crises for which additional evidence and details about previously mentioned banking events were discovered.

Key references:

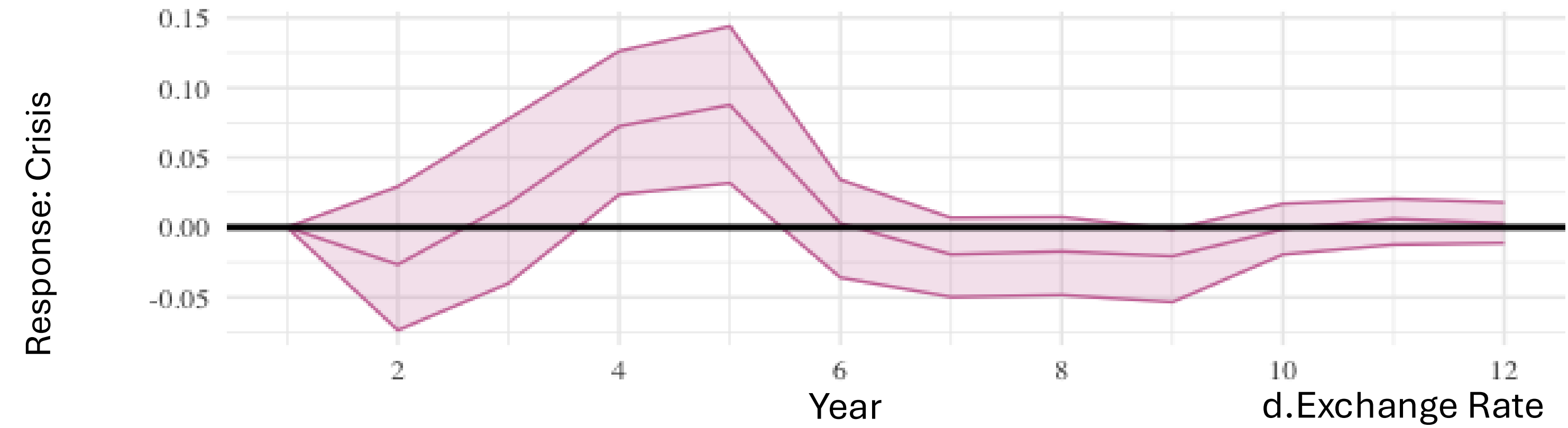
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(2) What Predicts the Crises?

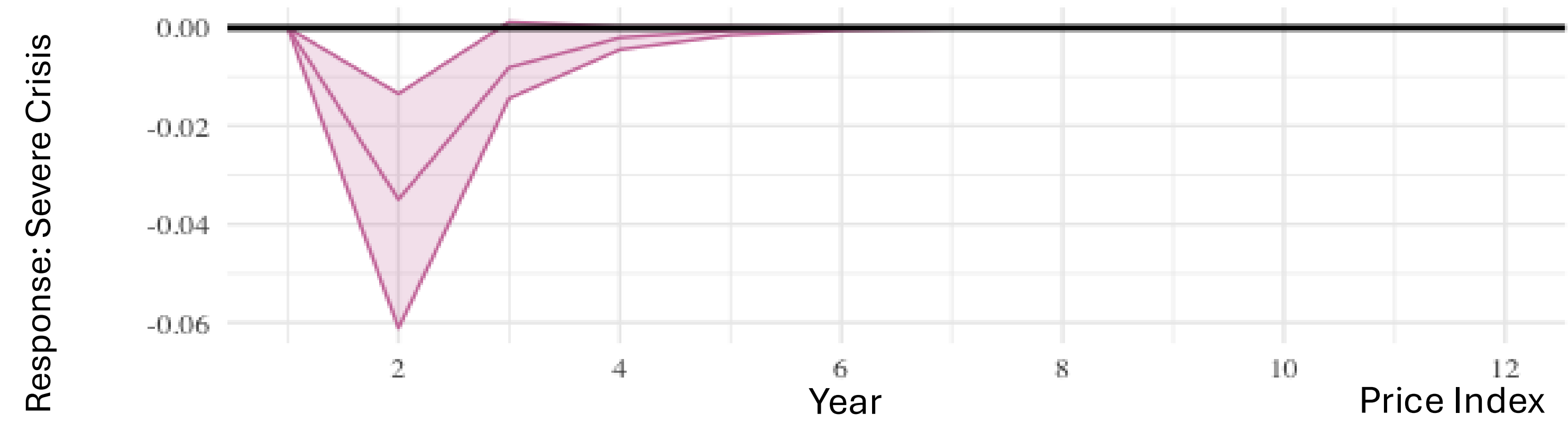
Method Vector Autoregression Model

Data Hong Kong Bluebook; Hong Kong Yearbook; Hong Kong Annual Digest of Statistics; HK Economic History Database

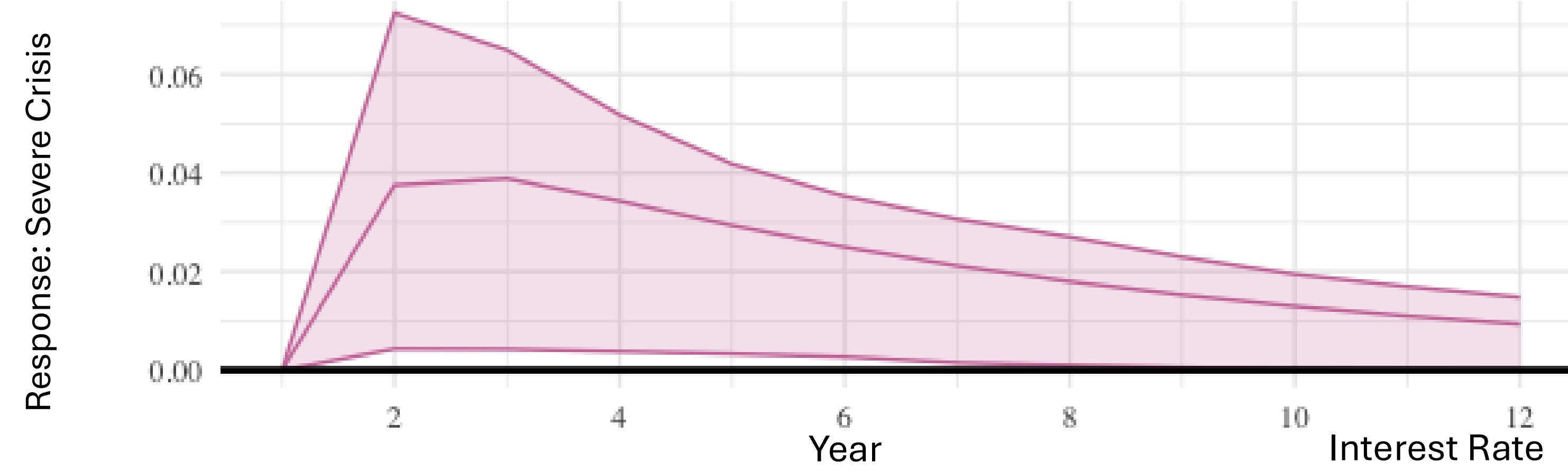
Panel A: Depreciation in exchange rate indicates a higher changes of crises



Panel B: Deflation indicates a higher changes of crises

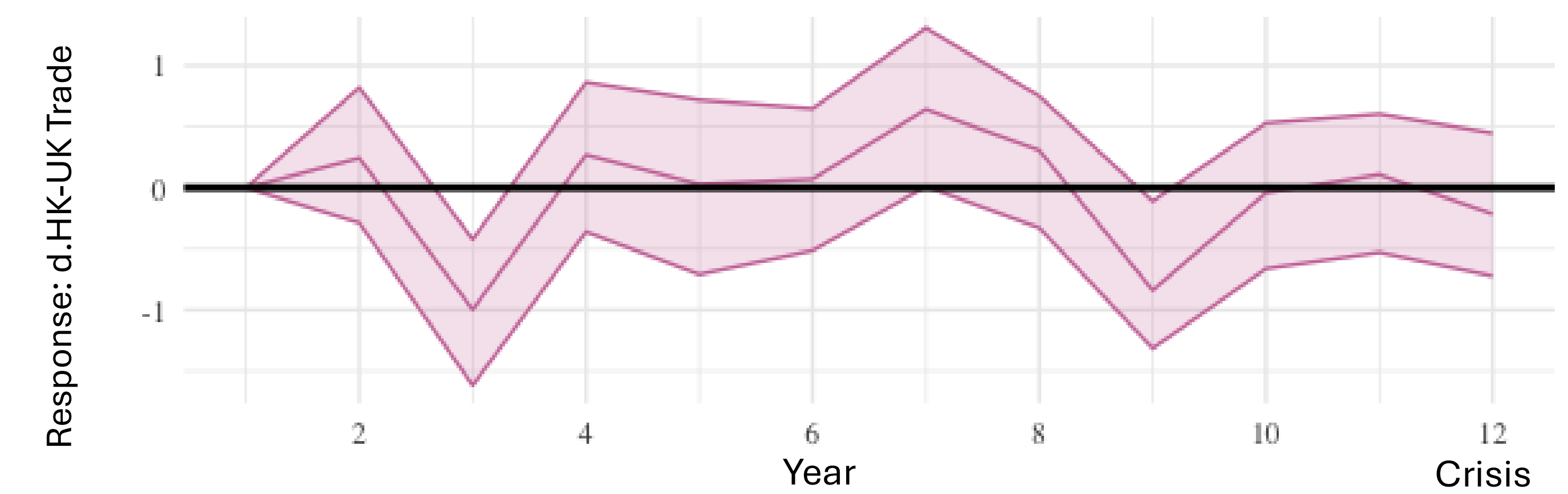


Panel C: High interest rate indicates a higher changes of crises



(3) What are the Consequences of the Crises?

Panel D: The impact of the crises is mostly insignificant



Why Limited Impact?



Contribution

- A consistent **long-run chronology** of Hong Kong banking crises.
- I find that **depreciated exchange rates**, **high interest rates** and **deflation** predict crises.
- Banking crises had **limited impact**, likely due to Hong Kong's distinct '**dual financial system**' - two interconnected but separate systems serving international business and local Chinese communities.